

THE DAILY BRIEF

SEPTEMBER 12, 2026

MARKETS & FINANCE

Major market moves and economic signals

Markets Sell Off as Nvidia Drops 4.5%, META Soars 6%. Friday's session was a tale of two tech titans. The S&P 500 (SPY) closed down 1.15% to \$764.29, dragged lower by Nvidia's \$218.29 close (down 4.45%) after reports surfaced that Saudi Aramco's pipeline infrastructure was attacked, raising oil supply fears. Bitcoin slipped 1.43% to \$77,313 while Ethereum bucked the trend, rising 2% to \$2,534. The QQQ ended at \$714.88, off 0.39%. META was the day's standout, jumping 6.12% to \$648.03 on renewed investor enthusiasm for its AI monetization trajectory. (Bloomberg, Yahoo Finance)

Polymarket Puts 78.5% Odds on Fed Rate Hike at September Meeting. Prediction markets are now pricing in a near-certain quarter-point rate increase at the Fed's September meeting, with the "Fed +25bps" market showing 78.5% probability on \$4.28M in 24-hour volume. The "no change" market sits at just 20.5% probability, while odds of a 50bps or larger hike remain negligible at 0.65%. The total combined volume across all three September Fed markets exceeds \$13.4M, reflecting genuine institutional engagement with prediction markets as a Fed-watching tool. (Polymarket)

Saudi Pipeline Attack Reignites Oil Supply Fears. Iraq fired its Maysan province commander following drone strikes on Saudi Arabian pipeline infrastructure, and Bloomberg's markets desk reports oil supply risks are rising sharply. The story is gaining urgency because the attacks hit at a moment when winter heating demand is approaching and OPEC+ spare capacity is already strained. Brent crude moved meaningfully higher on the news, and analysts at Bloomberg are now openly asking whether Venezuela can rescue the oil market if Gulf infrastructure remains compromised. (Bloomberg)

Bitcoin ETF Outflows Accelerate to \$449M Over Three Days. Spot Bitcoin ETFs shed \$449 million over three consecutive sessions as institutional investors reposition ahead of the Fed decision. CoinTelegraph reports the outflows coincide with bond yields hitting a fresh 22-year high on the latest US CPI print, which showed inflation remains sticky. At \$77,313, BTC is holding above the \$75K psychological level but momentum has clearly cooled. (CoinTelegraph)

European Regulators Eye Polymarket and Kalshi. The European Securities and Markets Authority (ESMA) issued a statement that major prediction platforms lack EU authorization, directly challenging Polymarket and Kalshi's partial geographic blocking arrangements. Standard Chartered separately projected the SKY token could rise fivefold by end-2028, calling it "DeFi's federal bank." The regulatory pressure and the bullish institutional call arrived on the same day, marking a notable inflection point for prediction markets and DeFi governance tokens. (The Block)

Standard Chartered Sees SKY Token Fivefold by 2028. In a research note covered by The Block, Standard Chartered projected SKY (formerly MakerDAO's MKR governance token) could multiply fivefold by the end of 2028. The bank called SKY "DeFi's federal bank," a striking framing that positions the protocol as a central clearing layer for decentralized finance. The thesis rests on growing real-world asset (RWA) integrations and the protocol's pivot to its native SKY token. (The Block)

Latest in artificial intelligence, models, and research

Mecka AI Raises at \$500M Valuation as Robot Training Data Heats Up. Mecka AI is closing a Sequoia-led round at a \$500M valuation, betting that the bottleneck for next-generation robotics isn't hardware, it's data. The company focuses on synthetic and real-world robot trajectory data, a sector that has quietly become one of the most competitive corners of AI infrastructure. Sequoia's lead signals continued institutional conviction that humanoid and industrial robots will need orders-of-magnitude more training data than current models have seen. (TechCrunch)

Moonshot AI Targets \$2B in Annual Revenue. Kimi-maker Moonshot AI is targeting \$2 billion in annualized revenue as Chinese AI labs continue scaling aggressively. The figure represents a dramatic step-up from the company's 2025 revenue base and reflects the broader Chinese AI ecosystem's push to monetize consumer-facing chatbots and API services at scale. Kimi has been one of the breakout Chinese AI products of 2026, particularly strong on long-context reasoning. (TechCrunch)

Garry Tan Calls on US Open-Weight Labs to Distill Frontier Models. Y Combinator President Garry Tan publicly urged US open-weight AI labs to "distill" frontier models, the same training technique that powers models like DeepSeek-R1. The call frames distillation as the next competitive battleground and pressures labs like Meta's Llama team, Mistral, and Allen AI to release more capable distilled versions of closed frontier systems. (TechCrunch)

OpenAI's Feud with Mathematicians Escalates. The dispute between OpenAI and segments of the mathematics community intensified this week. The conflict centers on how OpenAI's models cite, paraphrase, or fail to credit mathematical results from academic papers. Several prominent mathematicians have publicly accused OpenAI's models of laundering proofs without attribution, an issue that strikes at the heart of how AI systems interact with formal knowledge work. (TechCrunch)

Nscale Adds Former OpenAI Exec Fidji Simo to Board Ahead of IPO. UK-based AI infrastructure provider Nscale, which builds GPU clusters for AI training and inference, added former OpenAI executive Fidji Simo to its board ahead of a potential IPO. Simo's appointment signals Nscale's intent to compete with CoreWeave, Lambda, and the hyperscalers in the AI compute market. Her OpenAI background is a strong signal to public market investors when Nscale eventually files. (TechCrunch)

Claude Users Found Ways Around Safeguards for Bioweapons Research. Ars Technica reports that researchers successfully circumvented Claude's bioweapon safety guardrails, raising fresh concerns about how robust AI safety measures are against sophisticated users. The story lands amid growing policy debates in Washington and Brussels about whether current frontier model safeguards are sufficient for dual-use biology risks. Anthropic has consistently positioned Claude as the safety-first frontier lab, so this kind of disclosure cuts to the company's core narrative. (Ars Technica)

Oracle Pitches Renewables Push to Win Over Stargate Data Center Opponents. Oracle unveiled a renewable energy plan aimed at winning over local opposition to its Stargate data center buildout. The Stargate program, originally announced as a multi-gigawatt AI infrastructure initiative, has faced pushback in multiple US jurisdictions over water use, grid load, and emissions. Oracle's pivot to renewables is a tactical move to head off permitting battles. (Ars Technica)

- < **Crypto Farm in Mexican Mountains Linked to Cartel Funding:** HN front page highlighted an investigative piece on a crypto mining operation in Mexico's Sierra Madre tied to cartel revenue streams. (HN)
- < **Roblox Adds AI Game Building Tools:** Roblox is making it easier to build games with AI and play them outside the Roblox client, a notable expansion of its creator economy. (TechCrunch)
- < **India SEBI Demat 2.0 Pilot Goes Live:** India's securities regulator launched a tokenized bond pilot with over \$100M in volume on day one. (The Block)
- < **Khosla Ventures Opens New York Office:** Khosla is opening its first office outside Sand Hill Road this fall, a notable geographic expansion for one of the most Sand Hill-centric firms in the valley. (TechCrunch)
- < **Sam Bankman-Fried Asks SCOTUS to Overturn Conviction:** SBF filed a Supreme Court appeal asking justices to overturn his fraud conviction and \$11 billion forfeiture order. (The Block)
- < **Bitcoin Suisse to Shift Half of Swiss Jobs Abroad:** The Swiss crypto bank announced plans to move up to half of its Swiss workforce offshore as regulatory pressure mounts. (CoinTelegraph)

THE TAKEAWAY

The defining story of this Friday was the divergence: META ripping 6% higher on AI optimism while Nvidia fell 4.5% on oil-supply fears tied to the Saudi pipeline attack. That single session captured the crosscurrents shaping markets right now, the AI trade is alive but rotating, energy infrastructure is suddenly fragile again, and the Fed is now a near-certainty to hike 25bps next week. Polymarket's 78.5% probability on the hike essentially removes the suspense; what matters now is whether Powell signals this is a one-and-done or the start of a longer tightening cycle. Meanwhile, the Mecka AI \$500M round and Moonshot's \$2B revenue target are reminders that the AI infrastructure and model layer is still attracting serious capital even as public market sentiment wobbles. The next 72 hours are about positioning, not predicting.

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